NO. OF UNIQUE EMPLOYEES	NO. OF RESPONDENTS	SURVEY RESPONSE %	AVERAGE HOURS WORKED PER EMPLOYEE
195	195	85%	42.5

*Proxy responses assigned to remaining 15%

COST | FTE

FILTERS CLEAR ALL

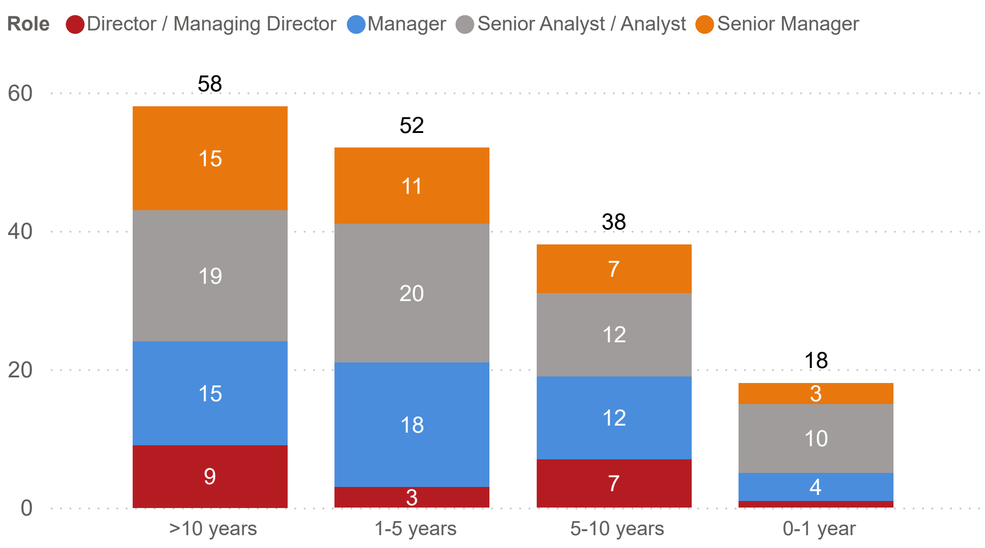
NARRATIVE ON OFF

ORGANISATION STRUCTURE

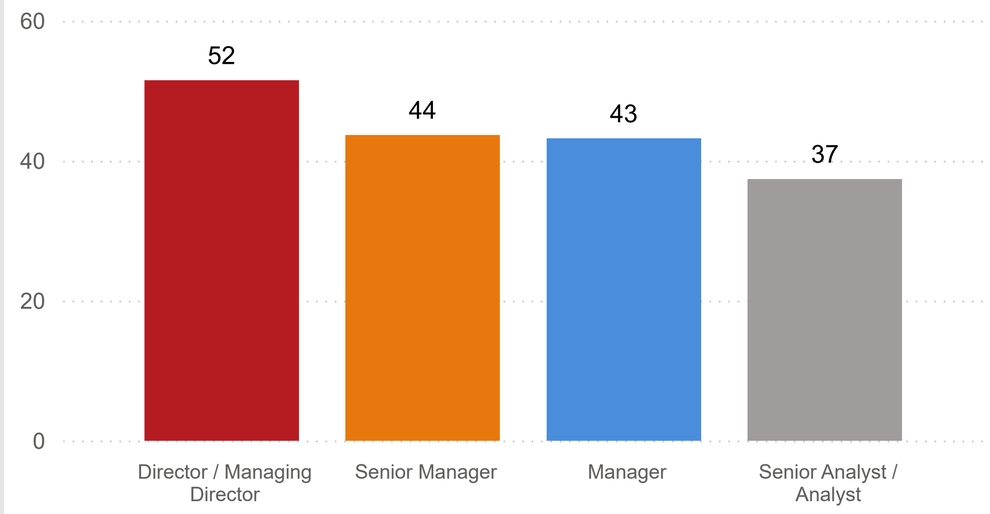
REGION

All

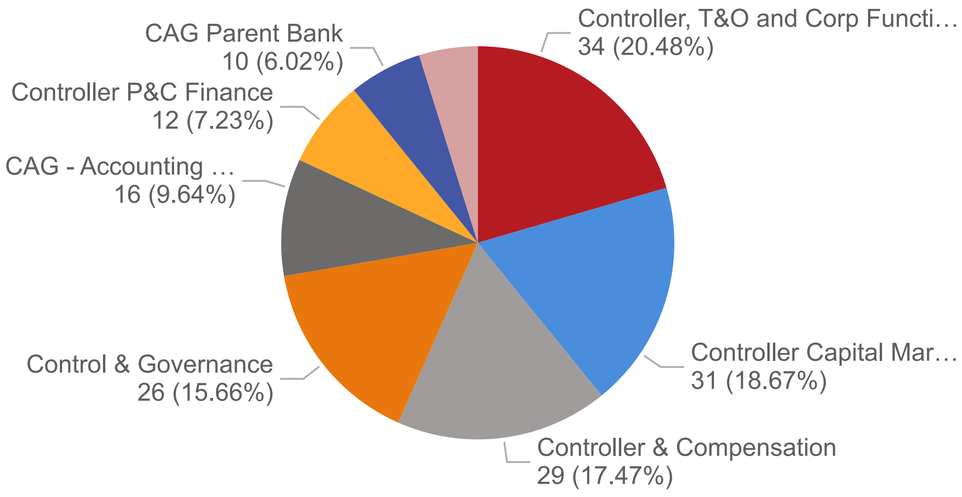
RESPONDENTS BY TENURE



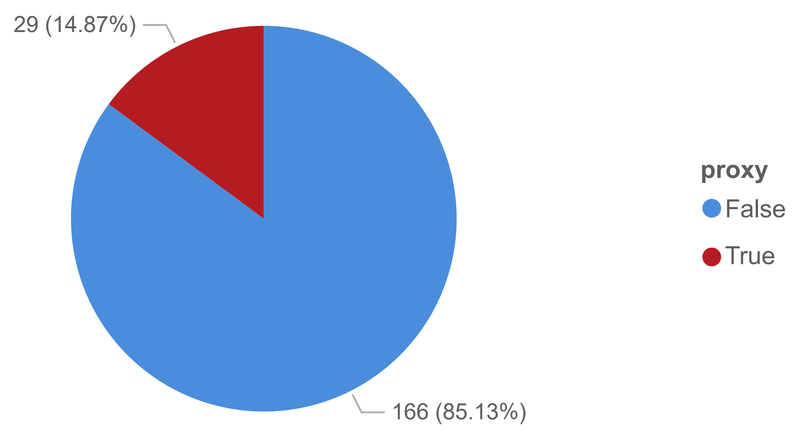
AVERAGE HOURS WORKED BY ROLE



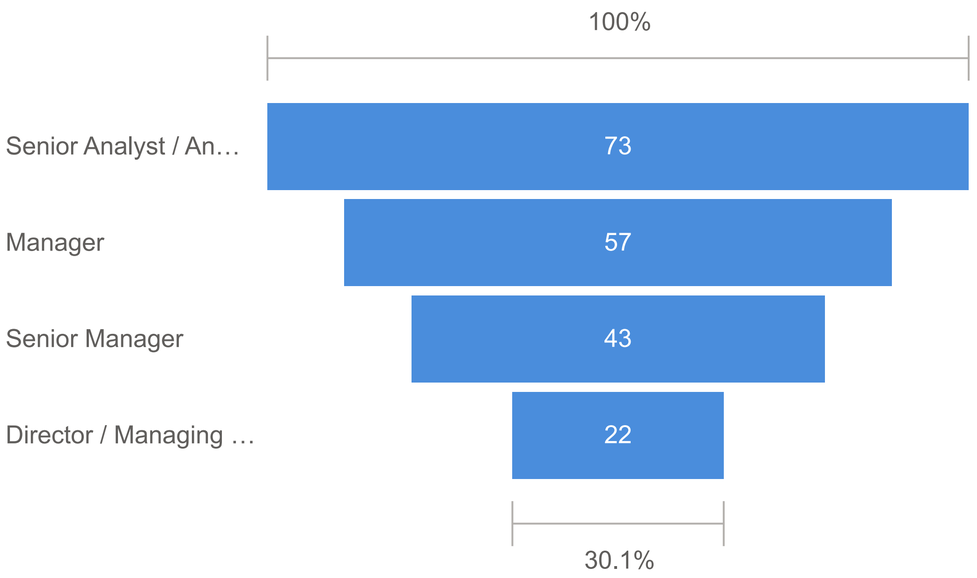
RESPONDENTS BY GROUP



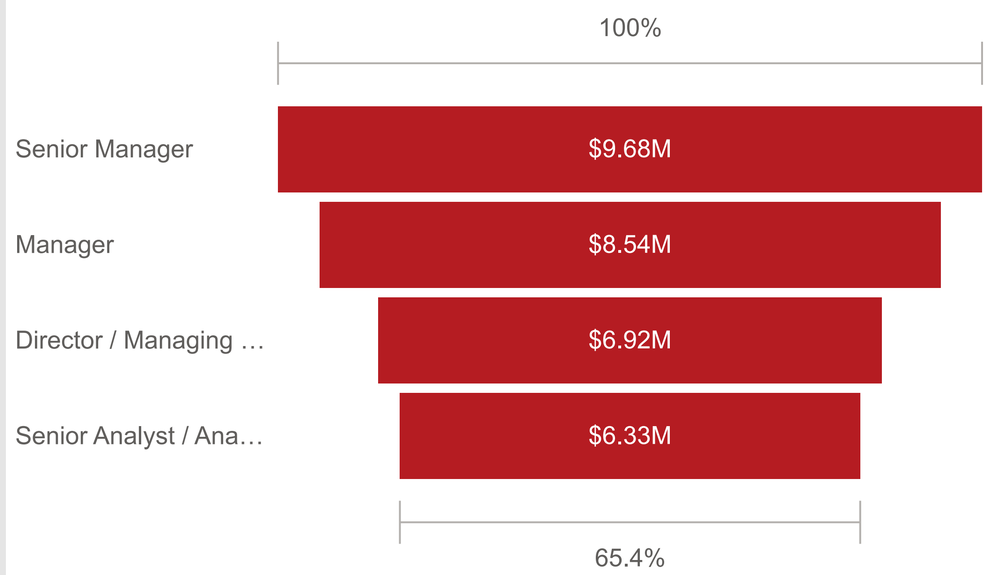
PROXY VS. SELF RESPONDENTS



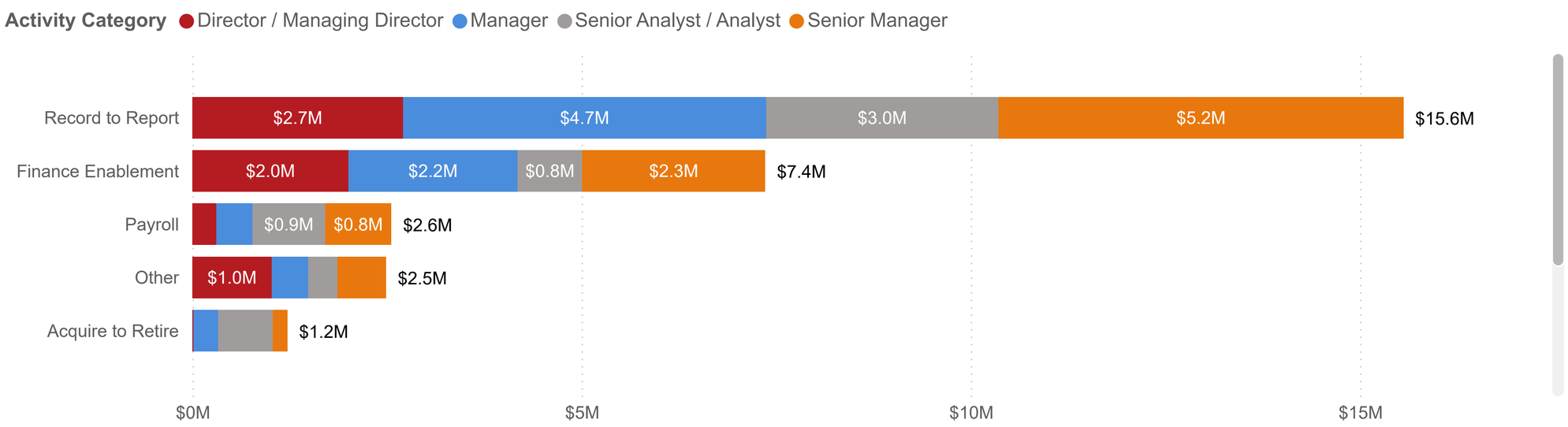
FTE DISTRIBUTION BY ROLES



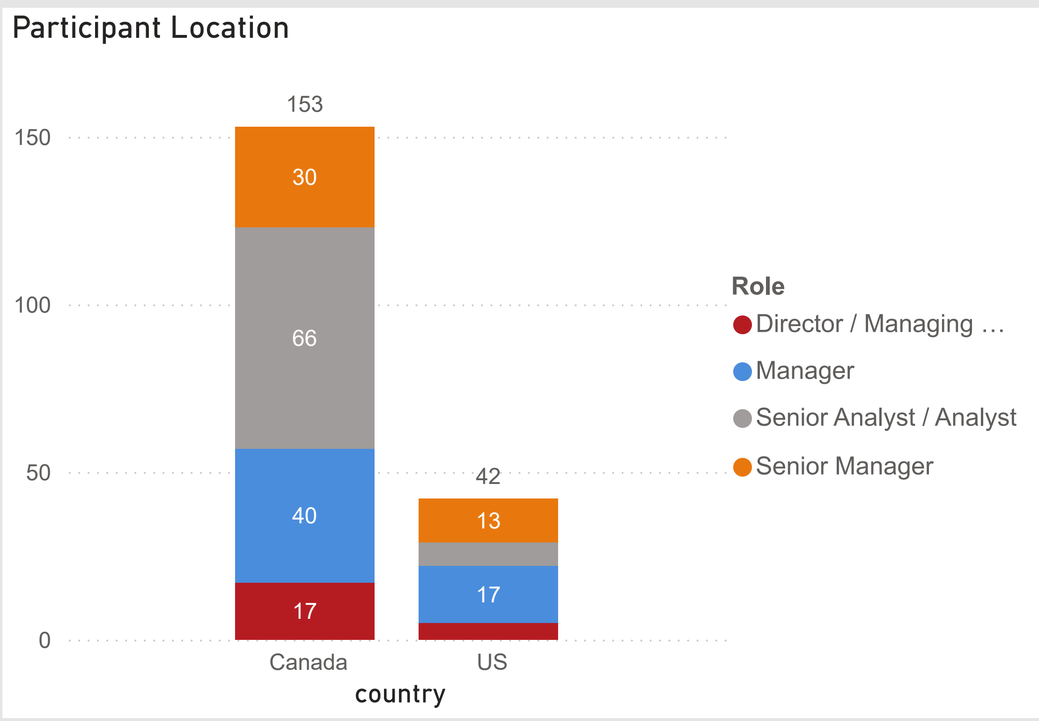
FINANCE LABOR COSTS BY ROLES



LABOR COST BY L1 & L2 PROCESS



Participant Location



NO. OF UNIQUE EMPLOYEES	TOTAL FTE	FULLY LOADED LABOR COST	LABOR COST PER FTE
195	218.1	$31.5M	$144.3K

COST | FTE

FILTERS CLEAR ALL

NARRATIVE ON OFF

ORGANISATION STRUCTURE

REGION

All

PROCESS ATTRIBUTES

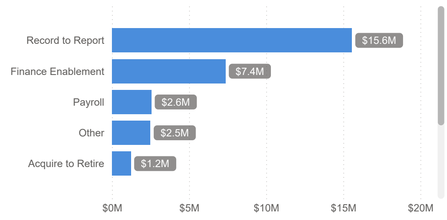
L1 PROCESS

All

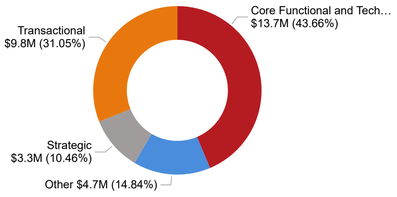
L2 PROCESS

All

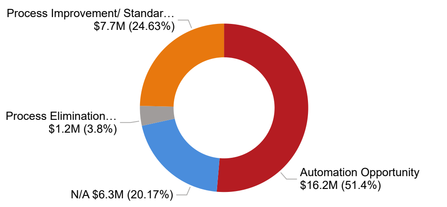
LABOR COST BY L1 PROCESS



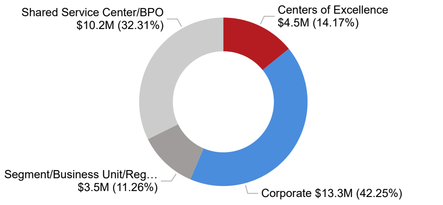
LABOR COST BY CATEGORY



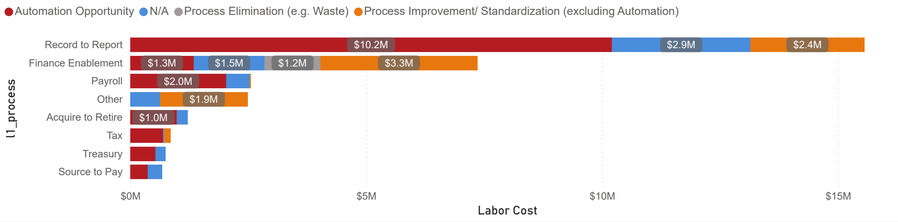
LABOR COST BY PROCESS IMPROVEMENT LEVER



LABOR COST BY SERVICE DELIVERY TAGGING



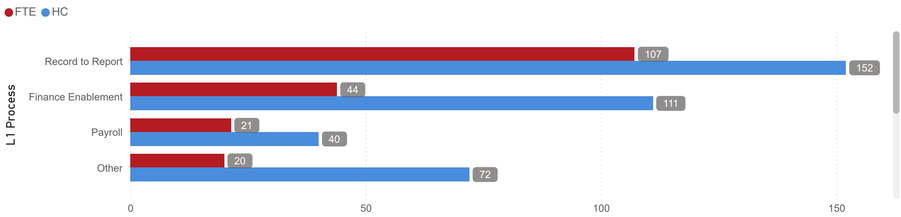
LABOR COST BY PROCESS IMPROVEMENT LEVER AND PROCESS



FTE (Full-Time Equivalent) DISTRIBUTION BY L1, L2 PROCESS AND TEAMS

BMO L1 Process	Finance - CAG - Accounting Policy, Statutory Reporting and Accounting Risk	Finance - CAG Parent Bank	Finance - Controll
Record to Report	**19.95**	**8.59**	
Close & Consolidation	0.93	6.07	
BMO Consolidated Statutory Reporting	6.24	1.08	
Legal Entity Statutory Reporting	0.78	1.29	
Accounting policies	11.66		
Process & System Governance	0.35	0.15	
Total	**21.82**	**10.33**	

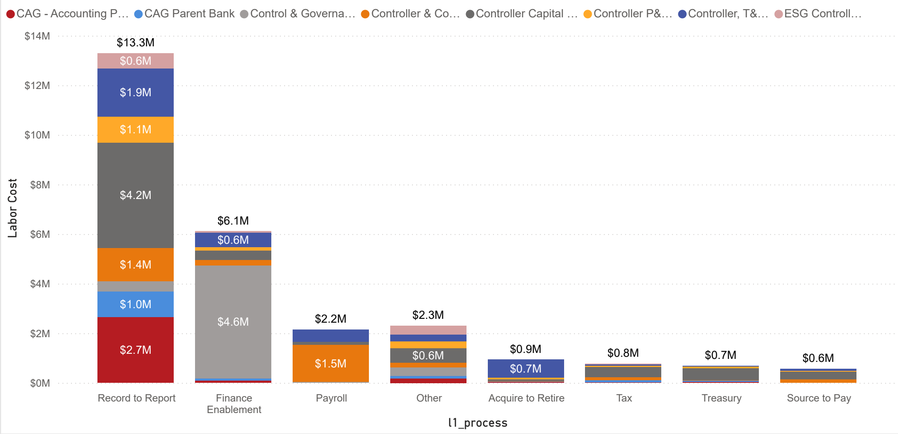
FTE (Full-Time Equivalent) VS HC (Headcount) BY PROCESS



LABOR COST BY PROCESS & ACTIVITY

Process Area	Client Cost	Category	Process Improvement Lever	Service Delivery Tagging
Treasury	**$0.7M**			
Cash/Treasury Management	**$0.4M**			
[Forecasting] - Prepare (and/or support) cash forecasting	$0.0M	Core Functional and Technical	Automation Opportunity	Centers of Excellence
[FTP] - Prepare (and/or support) Funds Transfer Pricing (FTP)	$0.0M	Transactional	Automation Opportunity	Centers of Excellence
[Intercompany] - Execute intercompany loans	$0.0M	Transactional	N/A	Centers of Excellence
[Intercompany] - Execute intercompany settlements between business units, as required	$0.0M	Core Functional and Technical	Automation Opportunity	Centers of Excellence
[Other] - Not listed above (Cash/Treasury Management)	$0.2M	Other	N/A	Corporate
[Pre-close] - Process cash / treasury GL entries, as applicable	$0.0M	Transactional	Automation Opportunity	Shared Service Center/BPO
[TB & Account Recs] - Perform and review bank / treasury reconciliations	$0.1M	Core Functional and Technical	Automation Opportunity	Shared Service Center/BPO
[TB & Account Recs] - Perform carrying value adjustments to reflect accurate asset valuations and financial reporting standards	$0.0M	Transactional	Automation Opportunity	Shared Service Center/BPO
Valuations	**$0.4M**			
Total	**$31.5M**			

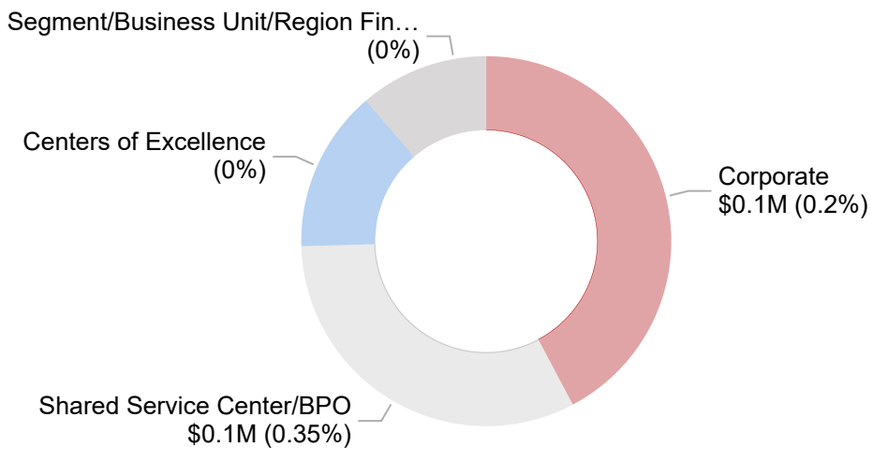
LABOR COST BY PROCESS AND GROUP



TOTAL LABOR COST	CORPORATE COST	COE COST	SSC/BPO COST	SEGMENT/BU/REGION FINANCE COST
$173.0K	$62.8K	$0.0	$110.2K	$0.0

COST | FTE

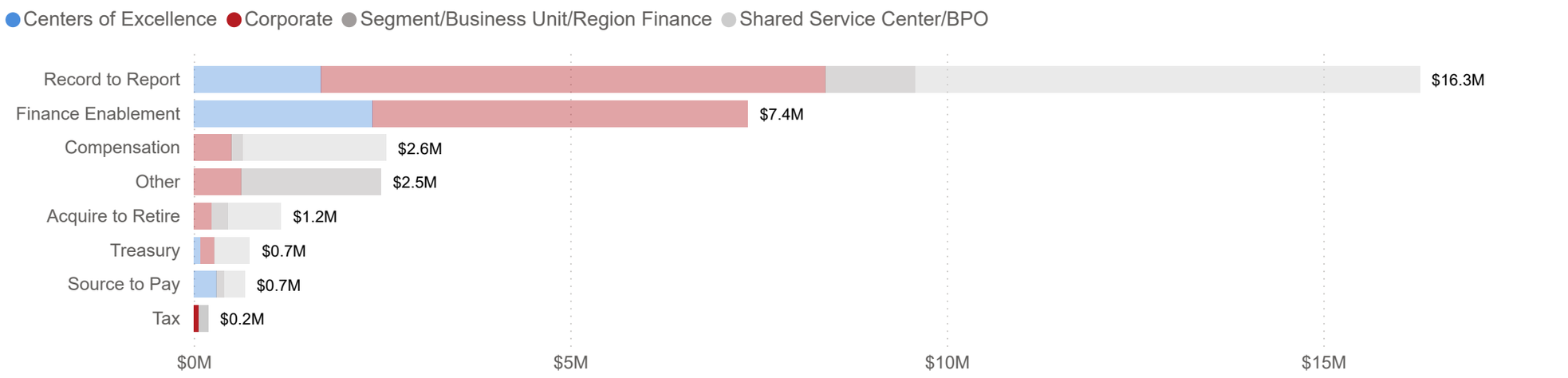
PROPOSED LABOR COST BY SERVICE DELIVERY



COST BY REGION AND COUNTRY

Region	Country	Service Delivery Model	Labor Cost
North America	US	Shared Service Center/BPO	$0.1M
North America	Canada	Corporate	$0.1M
North America	Canada	Shared Service Center/BPO	$0.0M
North America	US	Corporate	$0.0M
Total			**$0.2M**

PROPOSED LABOR COST BY SERVICE DELIVERY AND PROCESS



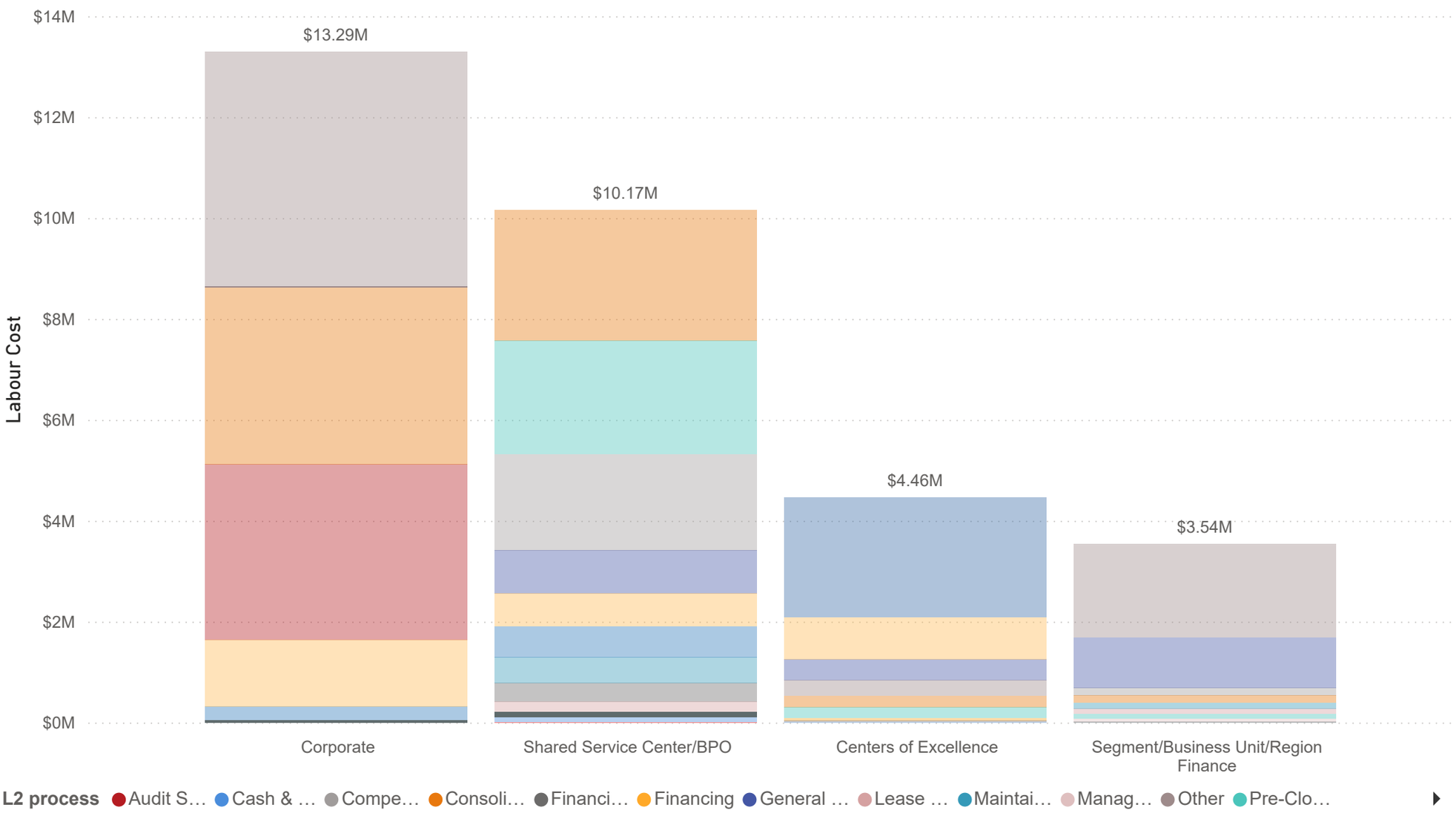
CENTRALIZATION & PROCESS IMPROVEMENT OPPORTUNITY

Service Delivery Model	Automation Opportunity	N/A	Process Elimination (e.g. Waste)	Process Improvement/ Standardization (excluding Automation)	Total
Shared Service Center/BPO	$0.1M		$0.0M	$0.0M	**$0.1M**
Corporate	$0.0M	$0.0M			**$0.1M**
Total	**$0.1M**	**$0.0M**	**$0.0M**	**$0.0M**	**$0.2M**

LABOR COST BY PROCESS & ACTIVITY

Process Areas	Calculated Cost	Corporate Cost	COE Cost	SSC/BPO Cost	Segment/BU/Region Finance Cost
Record to Report	**$15.6M**	**$6.4M**	**$1.7M**	**$6.3M**	**$1.2M**
Close & Consolidation	**$5.9M**	**$0.4M**	**$0.7M**	**$3.8M**	**$1.0M**
[Pre-close] - Prepare standard journal entries	$0.6M	$0.0M	$0.0M	$0.6M	$0.0M
[Pre-close] - Review and approve standard journal entries	$0.6M	$0.0M	$0.0M	$0.6M	$0.0M
[R2R Process] - Facilitate and attend close meetings	$0.4M	$0.0M	$0.0M	$0.4M	$0.0M
[Other] - Not listed above (Close & Consolidation)	$0.4M	$0.4M	$0.0M	$0.0M	$0.0M
[Pre-close] - Prepare non standard journal entries	$0.4M	$0.0M	$0.0M	$0.4M	$0.0M
[Pre-close] - Review and approve non standard journal entries	$0.3M	$0.0M	$0.0M	$0.3M	$0.0M
[TB & Account Recs] - Reconcile GL data sources to GL (system-to-system reconciliation)	$0.3M	$0.0M	$0.0M	$0.0M	$0.3M
Total	**$31.5M**	**$13.3M**	**$4.5M**	**$10.2M**	**$3.5M**

PROCESS AREA BREAKDOWN FOR SERVICE DELIVERY METHOD



FILTERS

CLEAR ALL

NARRATIVE ON OFF

ORGANISATION STRUCTURE

REGION

All

PROCESS ATTRIBUTES

L1

All

CLIENT PROCESS

All

ACTIVITY ATTRIBUTES

CATEGORY

All

PROCESS IMPROVEMENT LEVER

All

SERVICE DELIVERY TAGGING

All

TOTAL LABOR COST ($)

$31.5M

TOTAL POTENTIAL COST IMPACT USING PROCESS IMPROVEMENT LEVERS ($)

$21.6M

COST | FTE

FILTERS CLEAR ALL

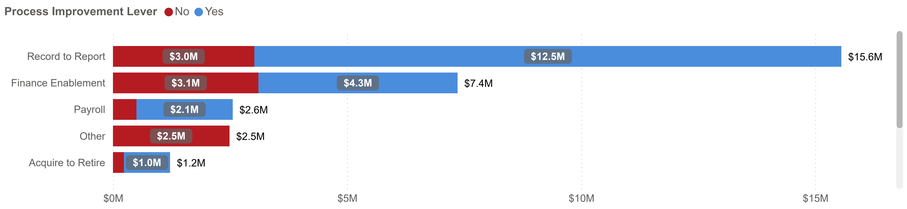
NARRATIVE ON OFF

REGION: All

BUSINESS UNIT: All

L1 & L2 PROCESS: All

POTENTIAL TOTAL COST IMPACT BY PROCESS



IMPROVEMENT SPECIFIED AREAS OF FOCUS

Gen AI	Data Visualization	RPA	Core Systems / ERP	Machine Learning	Extract Transform Load (ETL)
$18.4M	$11.2M	$9.7M	$7.2M	$4.2M	$3.6M

POTENTIAL COST IMPACT BY PROCESS & ACTIVITY BASED ON THE LEVER SELECTED (Use filter selectors to the right)

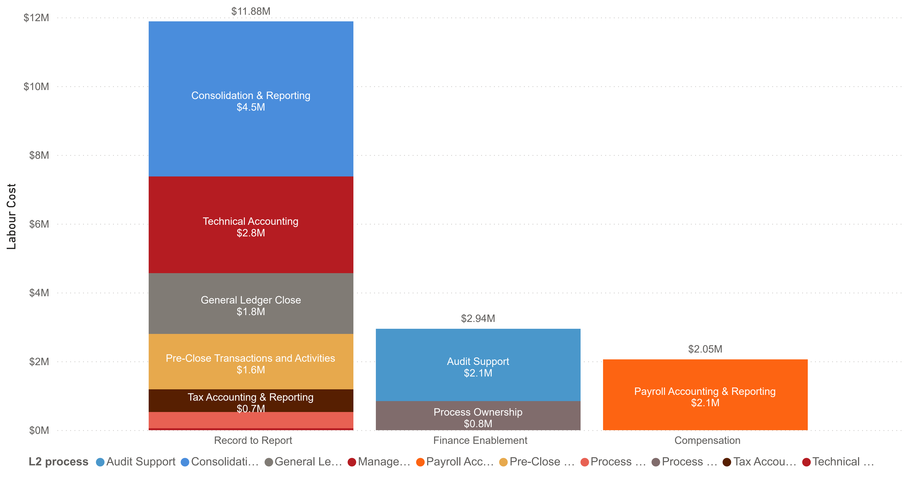
Process Area	Total Cost Savings
Record to Report	11.2M
Close & Consolidation	3.6M
Accounting policies	2.8M
BMO Consolidated Statutory Reporting	2.6M
Legal Entity Statutory Reporting	1.9M
Process & System Governance	0.3M
Finance Enablement	2.9M
Finance Controls & Governance	2.9M
Payroll	2.1M
Compensation	2.1M
Tax	0.8M
Total	18.4M

PROCESS IMPROVEMENT LEVER SELECTION

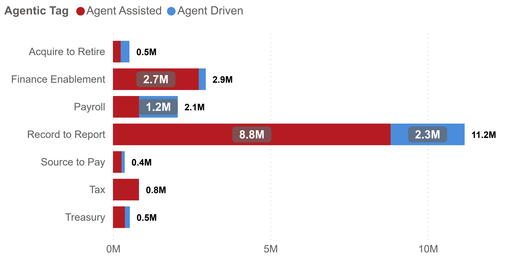
- Core Systems & ERP Sub Ledgers
- Generative Artificial Intelligence (GenAI)
- Data Visualization (Viz)
- Machine Learning (ML)
- Extract Transform Load (ETL)
- Robotic Process Automation (RPA)

PROCESS IMPROVEMENT OPPORTUNITY USING GENERATIVE ARTIFICIAL INTELLIGENCE (GEN AI)

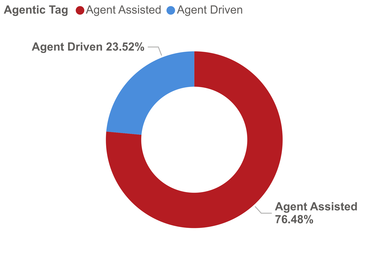
TOP COST OF LABOR PROCESSES WITH AI IMPROVEMENT OPPORTUNITIES



LABOUR COST IMPACT BY PROCESS USING AGENTIC AI



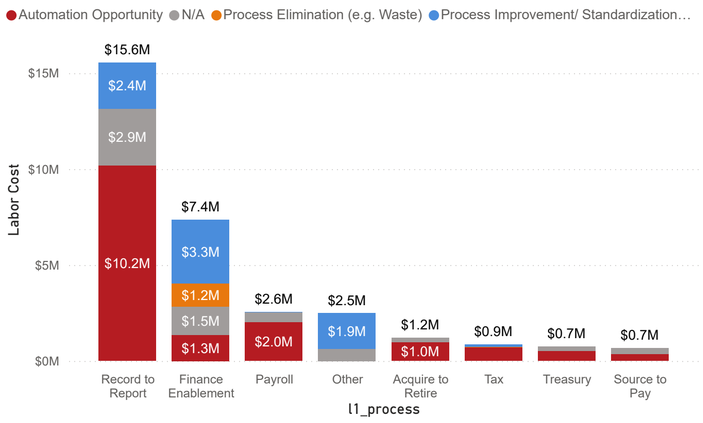
LABOUR COST IMPACT USING AGENTIC AI



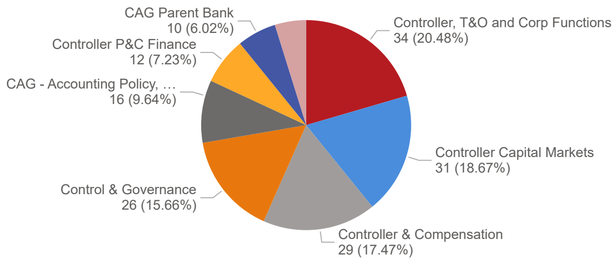
LABOUR COST IMPACT BY PROCESS & ACTIVITY USING AGENTIC AI

Process Areas	Agentic Tag	Total Cost Impact
Acquire to Retire		524,001
Finance Enablement		2,943,971
Finance Controls & Governance		2,943,971
[Audit Execution] - Assist in external audit engagements (e.g., developing supporting schedules, providing results of controls testing, etc.)	Agent Assisted	211,785
[Audit Execution] - Gather necessary information on accounts to test/check balances	Agent Assisted	129,034
[Audit Execution] - Monitor activities of non-compliance with organization policy, laws and regulations	Agent Assisted	430,172
[Audit Execution] - Perform end-to-end process improvement audits to assist departments in improving business processes (continuous improvement)	Agent Assisted	209,968
[Audit Execution] - Test company policies and procedures (such as reviewing authorization levels)	Agent Assisted	34,022
[Audit Planning] - Gather necessary information to perform scoping activities	Agent Driven	220,446
[Audit Planning] - Meet with key stakeholders to gather information needed for audit planning and risk assessments	Agent Assisted	166,696
Total		18,422,501

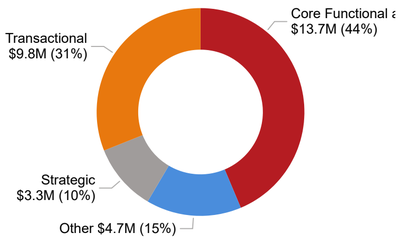
LABOR COST BY PROCESS IMPROVEMENT LEVER AND PROCESS



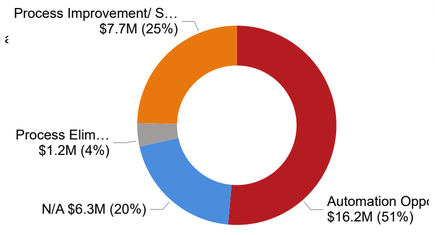
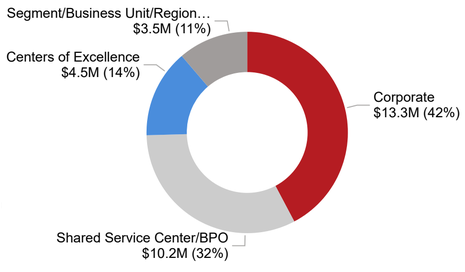
RESPONDENTS BY GROUP



LABOR COST BY CATEGORY



LABOR COST BY PROCESS IMPROVEMENT



LABOR COST BY SERVICE DELIVERY TAGGING